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Republic of the Philippines
Department of Finance
Bureau of Internal Revenue

BIR Form No. **1701**
January 2018 (ENCS)
Page 1

Annual Income Tax Return

Individuals (including MIXED Income Earner), Estates and Trusts

Enter all required information in CAPITAL LETTERS using BLACK ink. Mark applicable boxes with an "X". Two copies must be filed with the BIR and one held by the Tax Filer.

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1 For the Year *(YYYY)*: 2026 | **2** Amended Return? ☐ Yes ☒ No | **3** Short Period Return? ☐ Yes ☒ No

PART I – Background Information of Taxpayer/Filer

4 Taxpayer Identification Number *(TIN)*: 123-456-789-00000 | **5** RDO Code: 000

6 Taxpayer Type: ☒ Single Proprietor ☐ Professional ☐ Estate ☐ Trust ☐ Compensation Earner

7 Alphanumeric Tax Code *(ATC)*:
☐ II012 Business Income-Graduated IT Rates ☐ II014 Income from Profession–Graduated IT Rates ☒ II013 Mixed Income–Graduated IT Rates
☐ II011 Compensation Income ☐ II015 Business Income - 8% IT Rate ☐ II017 Income from Profession – 8% IT Rate ☐ II016 Mixed Income – 8% IT Rate

8 Taxpayer's Name *(Last Name, First Name, Middle Name)*/ESTATE OF *(First Name, Middle Name, Last Name)*/ TRUST FAO*: (First Name, Middle Name, Last Name)*

INVENTED SAMPLE TRADING AND GENERAL MERCHANDISE SERVICES CORPORATION

9 Registered Address *(Indicate complete address. If the registered address is different from the current address, go to the RDO to update registered address by using BIR Form No. 1905)*

UNIT 12 SAMPLE TOWER ONE, 5 INVENTED AVENUE CORNER EXAMPLE STREET, SAMPLE CITY, METRO 0000

9A ZIP Code: 0000

10 Date of Birth *(MM/DD/YYYY)*: 01151980 | **11** Email Address: accounts.receivable.department@invented-sample-company.example

12 Citizenship: TREATY BETWEEN INVENTED REPUBLICS SAMPLE | **13** Claiming Foreign Tax Credits? ☒ Yes ☐ No | **14** Foreign Tax Number, *if applicable*: FTN-000001234

15 Contact Number *(Landline/Cellphone No.)*: 09170000000

16 Civil Status *(if applicable)*: ☐ Single ☒ Married ☐ Legally Separated ☐ Widow/er

17 If married, spouse has income? ☒ Yes ☐ No | **18** Filing Status: ☐ Joint Filing ☒ Separate Filing

19 Income EXEMPT from Income Tax? ☐ Yes ☒ No
[If yes, fill out also consolidation of ALL activities per Tax Regime (Part X)]

20 Income subject to SPECIAL/PREFERENTIAL RATE? ☐ Yes ☒ No
[If yes, fill out also consolidation of ALL activities per Tax Regime (Part X)]

21 Tax Rate* *(choose one)*:
☒ Graduated Rates *(Choose Method of Deduction in Item 21A)*
☐ 8% in lieu of Graduated Rates under Sec. 24(A) & Percentage Tax under Sec. 116 of NIRC
[available if gross sales/receipts and other non-operating income do not exceed Three million pesos (₱3M)]

21A Method of Deduction *(choose one)*:
☒ Itemized Deduction *[Sec. 34(A-J), NIRC]*
☐ Optional Standard Deduction *(OSD) [40% of Gross Sales/Receipts/Revenues/Fees [Sec. 34(L), NIRC]*

PART II – Total Tax Payable

(DO NOT enter Centavos; 49 Centavos or Less drop down; 50 or more round up)

Particulars	A. Taxpayer/Filer	B. Spouse
22 Tax Due *(From Part VI Item 5)*	170108	41095
23 Less: Total Tax Credits/Payments *(From Part VII Item 10)*	33800	16910
24 Tax Payable/(Overpayment) *(Item 22 Less Item 23)*	136308	24185
25 Less: Portion of Tax Payable Allowed for 2nd Installment to be paid on or before October 15 ***(50% or less of Item 22)***	0	0
26 Amount of Tax Payable/(Overpayment) *(Item 24 Less Item 25)*	136308	24185
Add: Penalties **27** Interest	130	0
28 Surcharge	260	0
29 Compromise	510	0
30 Total Penalties *(Sum of Items 27 to 29)*	900	0
31 Total Amount Payable/(Overpayment) *(Sum of Items 26 and 30)*	137208	24185
32 Aggregate Amount Payable/(Overpayment) *(Sum of Items 31A and 31B)*	161393	

If overpayment, mark one (1) box only. *(Once the choice is made, the same is irrevocable)*

☒ To be refunded ☐ To be issued a Tax Credit Certificate (TCC) ☐ To be carried over as a tax credit for next year/quarter

*I declare under the penalties of perjury that this return, and all its attachments, have been made in good faith, verified by me, and to the best of my knowledge and belief, are true and correct, pursuant to the provisions of the National Internal Revenue Code, as amended, and the regulations issued under authority thereof. Further, I give my consent to the processing of my information as contemplated under the *Data Privacy Act of 2012 (R.A. No. 10173) for legitimate and lawful purposes. (If signed by an Authorized Representative, indicate TIN and attach authorization letter)*

Printed Name and Signature of Taxpayer/Authorized Representative

33 Number of Attachments: 02

PART III - Details of Payment

Particulars	Drawee Bank/Agency	Number	Date *(MM/DD/YYYY)*	Amount
34 Cash/Bank Debit Memo	SAMPLE BANK INC	CHK-0001234567890		
35 Check	SAMPLE BANK INC	CHK-0001234567890		
36 Tax Debit Memo		CHK-0001234567890		
37 Others *(specify below)*				
INVENTED OTHER PAYMENT	SAMPLE BANK INC	CHK-0001234567890		

Machine Validation/Revenue Official Receipt Details *(if not filed with an Authorized Agent Bank)*

Stamp of Receiving Office/AAB and Date of Receipt (RO's Signature/Bank Teller's Initial)

***NOTE**: The BIR Data Privacy Policy is in the BIR website (www.bir.gov.ph)

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TIN	Tax Filer's Last Name
123456789000	INVENTED SAMPLE TRADING AND GENERAL MERCHANDISE SERVICES CORPORATION

PART IV – Background Information of Spouse

1 Spouse's Taxpayer Identification Number: 987-654-321-00000 **2** RDO Code: 000

3 Filer's Spouse Type: ☐ Single Proprietor ☐ Professional ☐ Compensation Earner

4 Alphanumeric Tax Code *(ATC)*: ☐ II012 Business Income-Graduated IT Rates ☐ II014 Income from Profession–Graduated IT Rates ☐ II013 Mixed Income–Graduated IT Rates ☐ II011 Compensation Income ☐ II015 Business Income - 8% IT Rate ☐ II017 Income from Profession – 8% IT Rate ☐ II016 Mixed Income – 8% IT Rate

5 Spouse's Name *(Last Name, First Name, Middle Name)*: INVENTED SAMPLE TRADING AND GENERAL MERCHANDISE SERVICES CORPORATION

6 Contact Number: 09180000000 **7** Citizenship: TREATY BETWEEN INVENTED REPUBLICS SAMPLE

8 Claiming Foreign Tax Credits? ☐ Yes ☒ No **9** Foreign Tax Number *(if applicable)*:

10 Income EXEMPT from Income Tax? ☐ Yes ☒ No *[If yes, fill out also consolidation of ALL Activities per Tax Regime (Part X)]*

11 Income subject to SPECIAL/PREFERENTIAL RATE? ☐ Yes ☒ No *[If yes, fill out also consolidation of ALL activities per Tax Regime (Part X)]*

12 Tax Rate* *(choose one)*: ☐ Graduated Rates *(Choose Method of Deduction in Item 12A)*

12A Method of Deduction *(choose one)*: ☐ Itemized Deduction *[Sec. 34(A-J), NIRC]* ☐ Optional Standard Deduction (OSD) *[40% of Gross Sales/Receipts/Revenues/Fees [Sec. 34(L), NIRC]*

☒ 8% in lieu of Graduated Rates under Sec. 24(A) & Percentage Tax under Sec. 116 of NIRC *[available if gross sales/receipts and other non-operating income do not exceed Three million pesos (₱3M)]*

PART V – Computation of Tax

Schedule 1 – Gross Compensation Income and Tax Withheld *(Attach Additional Sheet/s, if necessary)*

On Items 1 and 2, enter the required information for each of your employer/s and mark (X) whether the information is for the Taxpayer or the Spouse. On Item 3A, enter the Total Gross Compensation and Total Tax Withheld for the Taxpayer and on Item 3B, for the Spouse. ***(DO NOT enter Centavos; 49 Centavos or Less drop down; 50 or more round up)***

	a. Name of Employer	b. Employer's TIN
1 ☒ Taxpayer ☐ Spouse	INVENTED SAMPLE TRADING AND GENERAL MERCHANDISE SERVICES CORPORATION	
	INVENTED SAMPLE TRADING AND GENERAL MERCHANDISE SER	
2 ☐ Taxpayer ☒ Spouse	INVENTED SAMPLE TRADING AND GENERAL MERCHANDISE SERVICES CORPORATION	
	INVENTED SAMPLE TRADING AND GENERAL MERCHANDISE SER	

(Continuation of Table Above)	c. Compensation Income	d. Tax Withheld
1	3111111	12600
2	2551111	9900
3A Gross Compensation Income and Total Tax Withheld for TAXPAYER (To Part V *Schedule 2 Item 4A and Part VII Item 5A*)	3111111	12600
3B Gross Compensation Income and Total Tax Withheld for SPOUSE (To Part V *Schedule 2 Item 4B and Part VII Item 5B*)	2551111	9900

Schedule 2 – Taxable Compensation Income ***(DO NOT enter Centavos; 49 Centavos or Less drop down; 50 or more round up)***

Particulars	A. Taxpayer/Filer	B. Spouse
4 Gross Compensation Income (*From Part V Schedule 1 Item 3Ac/3Bc)*	3111111	2551111
5 Less: Non-Taxable / Exempt Compensation	0	0
6 Taxable Compensation Income *(Item 4 Less Item 5)*	3111111	2551111
7 **Tax Due-Compensation Income** *(Item 6 x applicable Income Tax Rate)*	0	767

Schedule 3 – Taxable Business Income (*If graduated rates, fill in items 8 to 24; if 8% flat income tax rate, fill in items 25 to 30)*

3.A – For Graduated Income Tax Rates

8 Sales/Revenues/Receipts/Fees	1234000	0
9 Less: Sales Returns, Allowances and Discounts	24000	0
10 Net Sales/Revenues/Receipts/Fees *(Item 8 Less Item 9)*	1210000	0
11 Less: Cost of Sales/Services ***(applicable only if availing Itemized Deductions)***	3760000	0
12 Gross Income/(Loss) from Operation *(Item 10 Less Item 11)*	834000	0
Less: Deductions Allowable under Existing Laws		
13 Ordinary Allowable Itemized Deductions *(From Part V Schedule 4 Item 18)*	81300	0
14 Special Allowable Itemized Deductions *(From Part V Schedule 5 Item 3 and/or Item 6)*	5500	0
15 Allowance for Net Operating Loss Carry Over (NOLCO) *(From Part V Schedule 6 Item 8 and/or Item 13)*	3700	0
16 Total Allowable Itemized Deductions *(Sum of Items 13 to 15)*	90500	0
OR		
17 Optional Standard Deduction (OSD) *(40% of Item 10)*	0	0
18 Net Income/(Loss) *(If Itemized: Item 12 Less Item 16; If OSD: Item 10 Less Item 17)*	7435000	0
Add: Other Non-Operating Income *(specify below)*		
19	12300	0
20	0	0
21 Amount Received/Share in Income by a Partner from General Professional Partnership (GPP)	0	0
22 Total Other Non-Operating Income *(Sum of Items 19 to 21)*	12300	0
23 Taxable Income-Business *(Sum of Items 18 and 22)*	7558000	0
24 Total Taxable Income – Compensation & Business *(Sum of Items 6 and 23)*	10669111	0
25 **Total Tax Due-Compensation and Business Income** ***(under graduated rates)*** *(Item 24 x applicable income tax rate)* ***(To Part VI Item 1)***	1692288	0

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TIN	Tax Filer's Last Name
1 2 3 4 5 6 7 8 9 0 0 0 0	INVENTED SAMPLE TRADING AND GENERAL MERCHANDISE SERVICES CORPORATION

3.B – For 8% Flat Income Tax Rate *(DO NOT enter Centavos; 49 Centavos or Less drop down; 50 or more round up)*

Particulars	A. Taxpayer/Filer	B. Spouse
26 Sales/Revenues/Receipts/Fees *(net of sales returns, allowances and discounts)*	0	502000
Add: Other Non-Operating Income *(specify below)*		
27	0	2100
28 Total Income *(Sum of Items 26 and 27)*	0	504100
29 Less: Allowable reduction from gross sales/receipts and other non-operating income of purely self-employed individuals and/or professionals in the amount of P250,000 (not applicable if with compensation income)	0	0
30 Taxable Income/(Loss) *(Item 28 Less Item 29)*	0	504100
31 Tax Due-Business Income *(Item 30 x 8% Flat Income Tax Rate)*	0	40328
32 Total Tax Due–Compensation & Business Income ***(under flat rate)*** *(Sum of Items 7and 31)* ***(To Part VI Item 1)***	0	41095

Schedule 4 - Ordinary Allowable Itemized Deductions *(attach additional sheet/s, if necessary)*

	A. Taxpayer/Filer	B. Spouse
1 Amortizations	21000	0
2 Bad Debts	0	0
3 Charitable and Other Contributions	0	0
4 Depletion	0	0
5 Depreciation	52000	0
6 Entertainment, Amusement and Recreation	0	0
7 Fringe Benefits	0	0
8 Interest	0	0
9 Losses	0	0
10 Pension Trusts	0	0
11 Rental	0	0
12 Research and Development	0	0
13 Salaries, Wages and Allowances	0	0
14 SSS, GSIS, Philhealth, HDMF and Other Contributions	0	0
15 Taxes and Licenses	0	0
16 Transportation and Travel	0	0
17 Others (Deductions Subject to Withholding Tax and Other Expenses) *[Specify below; Add additional sheet(s), if necessary]*		
a Janitorial and Messengerial Services	8300	0
b Professional Fees	0	0
c Security Services	0	0
d	0	0
18 Total Ordinary Allowable Itemized Deductions *(Sum of Items 1 to 17d) (To Part V Schedule 3.A Item 13)*	81300	0

Schedule 5 – Special Allowable Itemized Deductions *(attach additional sheet/s, if necessary)*

5.A – Taxpayer/Filer

	Description	Legal Basis	Amount
1	INVENTED SAMPLE TRADING AND GENERAL MERCHANDISE SERVICES CORPORA	INVENTED SAMPLE TRADING AND	550
2	INVENTED SAMPLE TRADING AND GENERAL MERCHANDISE SERVICES CORPORA	INVENTED SAMPLE TRADING AND	0
3 Total Special Allowable Itemized Deductions-**Taxpayer/Filer** *(Sum of Items 1 and 2) (To Part V Schedule 3.A Item 14A)*			550

5.B – Spouse

4	INVENTED SAMPLE TRADING AND GENERAL MERCHANDISE SERVICES CORPORA	INVENTED SAMPLE TRADING AND	0
5	INVENTED SAMPLE TRADING AND GENERAL MERCHANDISE SERVICES CORPORA	INVENTED SAMPLE TRADING AND	0
6 Total Special Allowable Itemized Deductions-**Spouse** *(Sum of Items 4 and 5) (To Part V Schedule 3.A Item 14B)*			0

Schedule 6 - Computation of Net Operating Loss Carry Over (NOLCO)

6.A – Computation of NOLCO

Description	A. Taxpayer/Filer	B. Spouse
1 Gross Income	0	0
2 Less: Ordinary Allowable Itemized Deductions	0	0
3 Net Operating Loss *(Item 1 Less Item 2) (To Schedule 6.A.1 Item 7A &/or Schedule 6.A.2 Item 12A)*	0	0

6.A.1 – Taxpayer/Filer's Detailed Computation of Available NOLCO

	Net Operating Loss: Year Incurred	Net Operating Loss: A. Amount	B. NOLCO Applied Previous Year/s	C. NOLCO Expired	D. NOLCO Applied Current Year	E. Net Operating Loss (Unapplied) *[(E)= A – (B+C+D)]*
4		0	0	0	0	0
5		0	0	0	0	0
6		0	0	0	0	0
7		0	0	0	0	0
8	Total NOLCO - Taxpayer/Filer *(Sum of Items 4D to 7D) (To Part V Schedule 3.A Item 15A)*				3700	

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TIN	Tax Filer's Last Name
1 2 3 4 5 6 7 8 9 0 0 0 0 0	INVENTED SAMPLE TRADING AND GENERAL MERCHANDISE SERVICES CORPORATION

(Continuation of Schedule 6)

6.A.2 – Spouse's Detailed Computation of Available NOLCO

	Net Operating Loss: Year Incurred	A. Amount	B. NOLCO Applied Previous Year/s	C. NOLCO Expired	D. NOLCO Applied Current Year	E. Net Operating Loss (Unapplied) *[(E)= A – (B+C+D)]*
9		0	0	0	0	0
10		0	0	0	0	0
11		0	0	0	0	0
12		0	0	0	0	0
13	Total NOLCO - Spouse *(Sum of Items 9D to 12D) (To Part V Schedule 3.A Item 15B)*				0	

PART VI – Summary of Income Tax Due

1 Regular Rate–Income Tax Due *(From Part V, Either Item 25 or Item 32)*	169228	41095
2 Special Rate–Income Tax Due *(From Part X Item 17B/17F)*	1100	0
3 Less: Share of Other Government Agency, *if remitted directly to the Agency*	220	0
4 Net Special Rate–Income Tax Due/Share of National Govt. *(Item 2 Less Item 3)*	880	0
5 Total Income Tax Due *(Sum of Items 1 & 4) (To Part II Item 22)*	170108	41095

PART VII - Tax Credits/Payments *(attach proof)*

1 Prior Year's Excess Credits	1300	0
2 Tax Payments for the First Three (3) Quarters	15500	6200
3 Creditable Tax Withheld for the First Three (3) Quarters	0	0
4 Creditable Tax Withheld per BIR Form No. 2307 for the 4th Quarter	0	0
5 Creditable Tax Withheld per BIR Form No. 2316 *(From Part V Schedule 1 Item 3Ad/3Bd)*	12600	9900
6 Tax Paid in Return Previously Filed, if this is an Amended Return	0	0
7 Foreign Tax Credits, *if applicable*	0	0
8 Special Tax Credits, *if applicable (To Part VIII Item 6)*	0	0
9 Other Tax Credits/Payments *(specify)* _____	0	0
10 Total Tax Credits/Payments *(Sum of Items 1 to 9) (To Part II Item 23)*	33800	16910

PART VIII – Tax Relief Availment

VIII.A – Special Rate

1 Regular Income Tax Otherwise Due *(Part X Item 16B &/or Item 16F X applicable regular income tax rate)*	0	0
2 Tax Relief on Special Allowable Itemized Deductions *(Part X Item 7B and/or Item 7F X applicable regular income tax rate)*	0	0
3 Sub-Total – Tax Relief *(Sum of Items 1 and 2)*	0	0
4 Less: Income Tax Due *(From Part X Item 17B and/or Item 17F)*	0	0
5 Tax Relief Availment Before Special Tax Credit *(Item 3 Less Item 4)*	0	0
6 Add: Special Tax Credit, if any *(From Part VII Item 8)*	0	0
7 Total Tax Relief Availment- SPECIAL *(Sum of Items 5 and 6)*	0	0

VIII.B – Exempt

8 Regular Income Tax Otherwise Due *(Part X Item 16A &/or 16E X applicable regular income tax rate)*	0	0
9 Tax Relief on Special Allowable Itemized Deductions *(Part X Item 7A and/or Item 7E X applicable regular income tax rate)*	0	0
10 Total Tax Relief Availment- EXEMPT *(Sum of Items 8 and 9)*	0	0

PART IX – Reconciliation of Net Income per Books Against Taxable Income *(Attach additional sheet/s, if necessary)*

Particulars	A. Taxpayer/Filer	B. Spouse
1 Net Income/(Loss) per Books	4000000	1000000
Add: Non-Deductible Expenses/Taxable Other Income		
2 SAMPLE ADDITION	1000	0
3	0	0
4	0	0
5 Total *(Sum of Items 1 to 4)*	4010000	1000000
Less: A) Non-Taxable Income and Income Subjected to Final Tax		
6 SAMPLE DEDUCTION	2000	0
7	0	0
B) Special/Other Allowable Deductions		
8	0	0
9	0	0
10 Total *(Sum of Items 6 to 9)*	2000	0
11 Net Taxable Income/(Loss) *(Item 5 Less Item 10)*	3990000	1000000

TABLE 1 – Tax Rates (effective January 1, 2018 to December 31, 2022)

If Taxable Income is:	Tax Due is:
Not over P 250,000	0%
Over P 250,000 but not over P 400,000	20% of the excess over P 250,000
Over P 400,000 but not over P 800,000	P 30,000 + 25% of the excess over P 400,000
Over P 800,000 but not over P 2,000,000	P 130,000 + 30% of the excess over P 800,000
Over P 2,000,000 but not over P 8,000,000	P 490,000 + 32% of the excess over P 2,000,000
Over P 8,000,000	P 2,410,000 + 35% of the excess over P 8,000,000

TABLE 2 – Tax Rates (effective January 1, 2023 and onwards)

If Taxable Income is:	Tax Due is:
Not over P 250,000	0%
Over P 250,000 but not over P 400,000	15% of the excess over P 250,000
Over P 400,000 but not over P 800,000	P 22,500 + 20% of the excess over P 400,000
Over P 800,000 but not over P 2,000,000	P 102,500 + 25% of the excess over P 800,000
Over P 2,000,000 but not over P 8,000,000	P 402,500 + 30% of the excess over P 2,000,000
Over P 8,000,000	P 2,202,500 + 35% of the excess over P 8,000,000